FREE FINANCING REPORT

Gas Station Financing Report

Why This Sector Attracts Specialized Capital, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

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Why Sponsors Pursue Gas Station Financing

Gas stations combine a mature, well-understood fuel business with record in-store sales performance and a deep, established SBA lending track record. That combination — resilient margins, growing ancillary revenue, and purpose-built financing — is exactly why gas station financing has remained a genuine, accessible lending category even as fuel volume gently declines.

- **Record fuel margins support cash flow despite falling volume.** Gross fuel margins topped 40 cents per gallon in 2025, nearly double pre-2020 levels, helping offset a gradual, well-understood decline in gallon volume.
- **In-store sales keep setting records.** Convenience store in-store sales hit $341.2 billion in 2025, a 23rd consecutive annual increase, and now drive the majority of gross profit even though fuel remains the majority of revenue dollars.
- **A deep, established SBA lending track record.** SBA programs have funded roughly $17.7 billion across 21,149 gas station loans since 1995, giving lenders and borrowers alike a well-understood, purpose-built financing path.
- **Real estate ownership adds meaningful value.** Fee-simple transactions that include the real estate trade at materially higher multiples (7x to 9x EBITDA) than leasehold-only operations (2.5x to 4.0x), rewarding owner-operators who control the property.
- **A highly fragmented, acquisition-rich ownership base.** Roughly 63% of operators own 10 or fewer locations, and active consolidation activity signals a deep, liquid market for well-run sites.

That said, environmental risk is the defining underwriting factor in this sector. Lenders scrutinize underground storage tank age and condition, fuel volume trend, and operator experience closely — a strong location cannot offset an unresolved environmental issue.

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2026 Market Outlook for Gas Station Financing

The gas station sector enters 2026 from a position of real financial strength — record margins and record in-store sales — even as fuel volume continues a slow, structural decline. The following figures outline where the market stands:

- Fuel demand is gently declining but margins are more than compensating: 2025 gasoline demand ran about 8.9 million barrels per day, roughly 4% below the 2018 peak, with a projected 1% annual decline going forward, even as gross fuel margins topped 40 cents per gallon — nearly double pre-2020 levels.

  Source: MMCG Invest, U.S. Gas Station Industry Outlook 2026

- Store count has stabilized near an eight-year high for fuel-selling locations: of 151,975 total convenience stores at the end of 2025, 122,620 (80.7%) sold fuel, and roughly 63% of operators own 10 or fewer locations.

  Source: MMCG Invest, 2026

- In-store sales continue to outperform: convenience store in-store sales reached a record $341.2 billion in 2025, the 23rd consecutive annual increase, with fuel now generating 65% of sales dollars but only 38.8% of gross profit — foodservice alone contributes 38.9% of in-store profit.

  Source: MMCG Invest, 2026

- Valuations reward real estate ownership and scale: business-only (leasehold) operations trade at 2.5x to 4.0x EBITDA, while fee-simple transactions that include the real estate command 7x to 9x EBITDA, and net-lease real estate for credit-tenant brands trades at cap rates of roughly 4.83% to 5.65%.

  Source: STAX Real Estate, 2026 Gas Station Valuation Guide; CT Acquisitions, 2026 Buyer's Guide

- Consolidation remains active at every scale: major 2025 transactions included Sunoco's $9.1 billion acquisition of Parkland and Casey's $1.145 billion purchase of CEFCO, while three gas station and convenience-store platforms filed for IPOs within a twelve-month span.

  Source: MMCG Invest, 2026

- Environmental exposure remains a defining underwriting factor: roughly 533,277 active underground storage tanks operate across about 190,000 U.S. facilities, with an estimated 275,000 tanks already more than 30 years old and average cleanup costs running $142,219 per remediation.

  Source: MMCG Invest, 2026

Bottom line for 2026: Fuel volume is gently declining, but record fuel margins and record in-store sales are more than compensating, and real estate ownership continues to be rewarded with materially higher valuation multiples. Lenders remain genuinely willing, and SBA-supported financing is deep and well-established — but the age and condition of underground storage tank infrastructure is the swing factor that separates easily financeable sites from difficult ones.

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Critical Financing Metrics for Gas Station Properties

Lenders in this space underwrite fuel volume, in-store performance, and environmental condition as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Fuel Volume (Gallons Sold)**
   The trailing 12- to 24-month trend in monthly gallons sold. Sites in the bottom quartile draw real scrutiny. ~82,200 gal/mo national avg; <40,000 gal/mo draws scrutiny
2. **In-Store and Ancillary Sales Performance**
   Foodservice and merchandise sales, which now contribute a disproportionate share of profit relative to fuel. Strong in-store performance is one of the clearest ways to offset thin fuel margins.
3. **Environmental Condition and UST Age/Compliance**
   Current Phase I (and Phase II, if indicated) environmental reports, underground storage tank age, and compliance status. Tanks 30+ yrs old draw scrutiny; ~$142K avg cleanup
4. **Fuel Supply Agreement**
   The stability and terms of the site's fuel supply and brand relationship, which affects both operating consistency and resale value.
5. **Operator Experience**
   Documented experience in gas station or convenience-store operations. Most lenders require prior sector experience or an experienced transition manager for a defined period.
   Typically 6–24 months transition support
6. **Debt Service Coverage Ratio (DSCR)**
   Net operating income measured against total annual debt service.
   1.25x minimum; 1.35x+ preferred
7. **Down Payment / Leverage Structure**
   For SBA 7(a) financing, terms run up to 25 years when real estate is included versus roughly 10 years for business-only acquisitions. 10%–20% down payment typical

These metrics form the practical filter that separates gas station financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Business financial statements and tax returns (typically 2 to 3 years) are organized and current
- [ ] Fuel volume (gallon) history and in-store sales trends are documented
- [ ] Environmental reports (Phase I, and Phase II if indicated) are current
- [ ] Tanks, dispensers, canopy, and facility condition details are prepared
- [ ] Fuel supply agreement information is available
- [ ] Operator experience in gas station or convenience-store operations is clearly presented
- [ ] Existing debt schedule, entity documents, and organizational structure are ready
- [ ] Personal financial statements and credit information for owners/guarantors are current

Common Reasons Gas Station Financing Requests Underperform or Get Declined

- Declining fuel volume or weak in-store sales performance
- Aging underground storage tanks or unresolved environmental conditions
- Incomplete or missing Phase I/Phase II environmental documentation
- Insufficient operator experience in gas station or convenience-store operations
- Submitting to lenders unfamiliar with petroleum retail or environmental underwriting

Final Perspective

Gas station financing in 2026 sits inside a sector performing better than its headlines suggest — record fuel margins, record in-store sales, and deep SBA lending support, even as gallon volume continues a slow structural decline. The operators who finance most easily are the ones who can prove environmental condition and diversified revenue, not just a good location.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Aging tank infrastructure, incomplete environmental documentation, and mismatched lenders are among the most common reasons otherwise solid gas station financing requests lose time, money, and momentum.

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